



J.P.Morgan Industrials Conference

March 12, 2024

Safe Harbor

Statements made in this presentation that are not historical facts, including statements regarding our estimates, expectations, beliefs, intentions, projections, goals, aspirations, commitments or strategies for the future, should be considered “forward-looking statements” under the Securities Act of 1933, as amended, the Securities Exchange Act of 1934, as amended, and the Private Securities Litigation Reform Act of 1995. Such statements are not guarantees or promised outcomes and should not be construed as such. All forward-looking statements involve a number of risks and uncertainties that could cause actual results to differ materially from the estimates, expectations, beliefs, intentions, projections, goals, aspirations, commitments and strategies reflected in or suggested by the forward-looking statements. These risks and uncertainties include, but are not limited to, the possible effects of serious accidents involving our aircraft or aircraft of our airline partners; breaches or lapses in the security of technology systems we use and rely on, which could compromise the data stored within them, as well as failure to comply with evolving global privacy and security regulatory obligations or adequately address increasing customer focus on privacy issues and data security; disruptions in our information technology infrastructure; our dependence on technology in our operations; increases in the cost of aircraft fuel; extended disruptions in the supply of aircraft fuel, including from Monroe Energy, LLC (“Monroe”), a wholly-owned subsidiary of Delta that operates the Trainer refinery; failure to receive the expected results or returns from our commercial relationships with airlines in other parts of the world and the investments we have in certain of those airlines; the effects of a significant disruption in the operations or performance of third parties on which we rely; failure to comply with the financial and other covenants in our financing agreements; labor issues; the effects on our business of seasonality and other factors beyond our control, such as changes in value in our equity investments, severe weather conditions, natural disasters or other environmental events, including from the impact of climate change; failure or inability of insurance to cover a significant liability at Monroe’s refinery; failure to comply with existing and future environmental regulations to which Monroe’s refinery operations are subject, including costs related to compliance with renewable fuel standard regulations; significant damage to our reputation and brand, including from exposure to significant adverse publicity or inability to achieve certain sustainability goals; our ability to retain senior management and other key employees, and to maintain our company culture; disease outbreaks, such as the COVID-19 pandemic or similar public health threats, and measures implemented to combat them; the effects of terrorist attacks, geopolitical conflict or security events; competitive conditions in the airline industry; extended interruptions or disruptions in service at major airports at which we operate or significant problems associated with types of aircraft or engines we operate; the effects of extensive government regulation we are subject to; the impact of environmental regulation, including but not limited to regulation of hazardous substances, increased regulation to reduce emissions and other risks associated with climate change, and the cost of compliance with more stringent environmental regulations; and unfavorable economic or political conditions in the markets in which we operate or volatility in currency exchange rates.

Additional information concerning risks and uncertainties that could cause differences between actual results and forward-looking statements is contained in our Securities and Exchange Commission filings, including our Annual Report on Form 10-K for the fiscal year ended December 31, 2023. Caution should be taken not to place undue reliance on our forward-looking statements, which represent our views only as of the date of this presentation, and which we undertake no obligation to update except to the extent required by law.

Key Takeaway: Delta Is A Compelling Investment

THE DELTA DIFFERENCE

- > Best-in-class people underpin deepened competitive advantages
- > Trusted consumer brand with industry-leading loyalty program
- > Revenue diversification driving earnings and cash flow durability

RETURNS-FOCUSED STRATEGY

- > Delivering returns on invested capital more than five points above cost of capital¹
- > Targeting mid-teens operating margin and approaching investment grade
- > Free Cash Flow yield in top 10 of S&P 500²

CONSTRUCTIVE INDUSTRY BACKDROP

- > Secular growth in travel demand driven by generational shifts
- > Delta customers in healthy financial position and continuing to prioritize travel
- > Industry-wide focus on improving financial returns and free cash generation

Delta's Brand Transcends The Industry

#5 U.S. eCommerce
Retailer

amazon Walmart

ebay Apple

DELTA SKYTEAM

#11 FORTUNE
Most Admired
Companies



Cobrand
Spend
Approaching 1% of U.S. GDP



Delivered By The Best People In The Industry

Revenue Diversity Driving More Durable Financial Performance

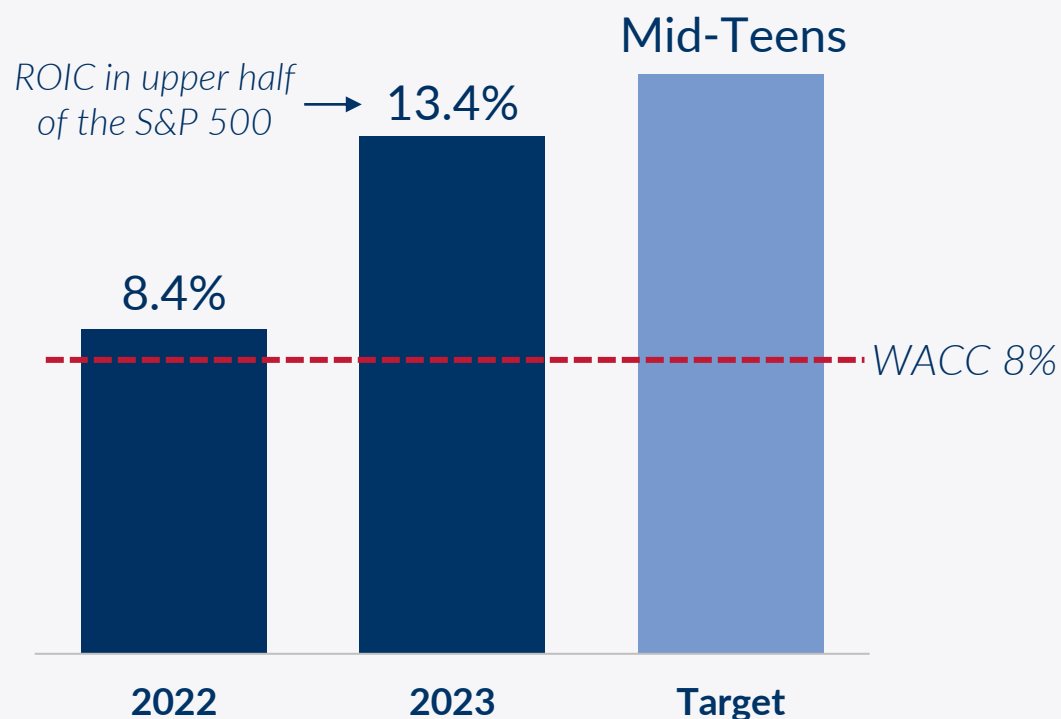


	2014	2023	
PREMIUM REVENUE	\$10B	\$19B	Premium demand driven by brand affinity and affluent customer base, with margins +10 pts above Main Cabin
AMEX REMUNERATION	\$2B	\$6.8B	Delta Amex co-brand spend outgrowing credit card industry, less correlated to air travel spend with margins above premium
% OF INDUSTRY PROFITS	30%	40%	Brand strength and increased revenue diversity driving more durable financial performance

Diverse Stream Of Revenues Represent 55% Of Total

Returns-Focused Strategy

Return on Invested Capital



Note: Historic results adjusted for special items; non-GAAP financial measures reconciled in Appendix. ROIC vs S&P 500 based on Morgan Stanley analysis of 2023 reported after-tax ROIC for S&P 500 constituents relative to Delta
WACC defined as 2023 estimated weighted average cost of capital

INCREASING RETURNS ON CAPITAL

Long-term margin expansion

- > Mid-teens margin target with opportunity from increasing revenue diversity, optimization & efficiency
- > More durable business expected to deliver profitability through full economic cycle

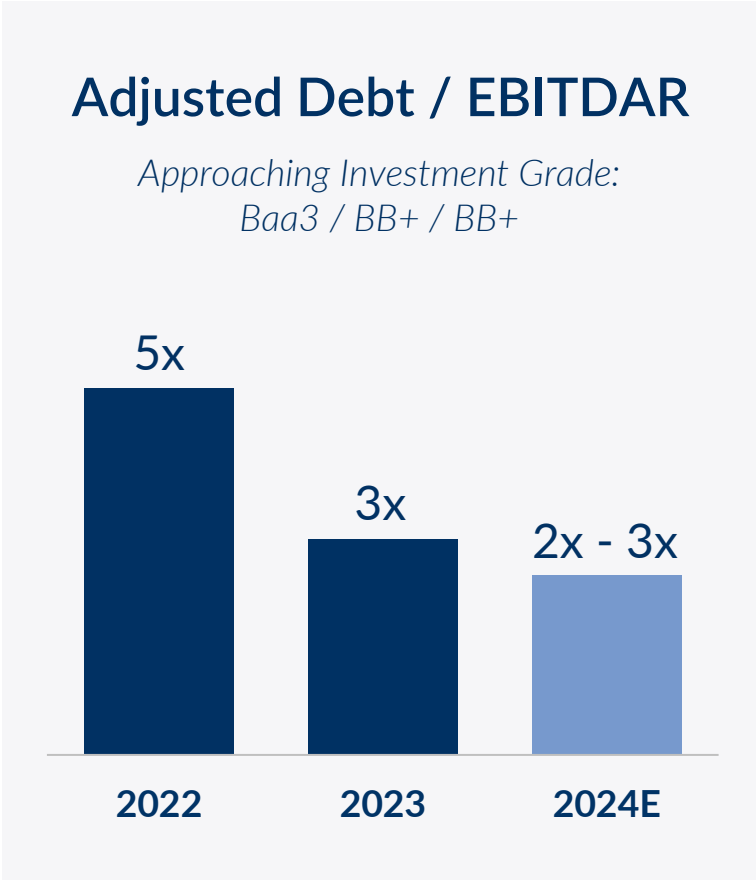
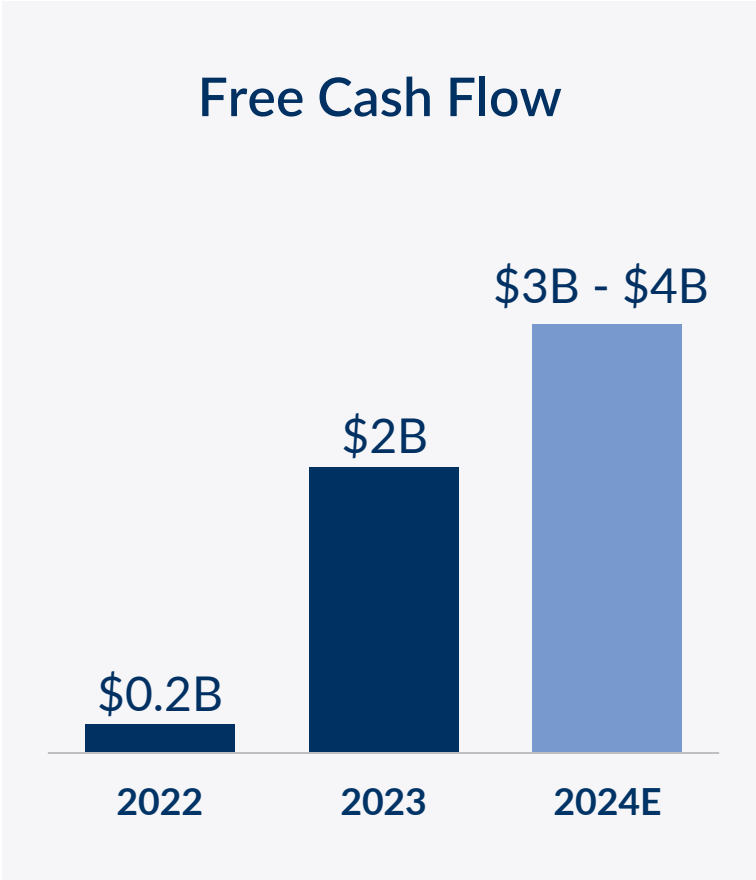
Consistent, disciplined reinvestment

- > Capex of \$5B supports fleet age of 13 to 15 years, below pre-pandemic average
- > Supports sustained free cash generation of \$4B

Strengthening balance sheet is top priority

- > Committed to debt reduction & investment grade metrics
- > Flexibility to increase shareholder returns as debt targets achieved

Executing On Three-Year Plan





Appendix

Non-GAAP Reconciliations

Delta sometimes uses information ("non-GAAP financial measures") that is derived from the Consolidated Financial Statements, but that is not presented in accordance with accounting principles generally accepted in the U.S. ("GAAP"). Under the U.S. Securities and Exchange Commission rules, non-GAAP financial measures may be considered in addition to results prepared in accordance with GAAP, but should not be considered a substitute for or superior to GAAP results. The tables below show reconciliations of non-GAAP financial measures used in this presentation to the most directly comparable GAAP financial measures. Reconciliations may not calculate due to rounding.

Delta is not able to reconcile certain forward looking non-GAAP financial measures used in this presentation without unreasonable effort because the adjusting items such as those used in the reconciliations below will not be known until the end of the indicated future periods and could be significant.

Adjustments. The following reconciliations include certain adjustments to GAAP measures that are made to provide comparability between the reported periods, if applicable, and for the reasons indicated below:

MTM adjustments on investments. Mark-to-market ("MTM") adjustments are defined as fair value changes recorded in periods other than the settlement period. Unrealized gains/losses result from our equity investments that are accounted for at fair value in non-operating expense. The gains/losses are driven by changes in stock prices, foreign currency fluctuations and other valuation techniques for investments in certain companies, particularly those without publicly-traded shares. Adjusting for these gains/losses allows investors to better understand and analyze our core operational performance in the periods shown.

MTM adjustments and settlements on hedges. MTM fair value changes are not necessarily indicative of the actual settlement value of the underlying hedge in the contract settlement period. Settlements represent cash received or paid on hedge contracts settled during the applicable period.

Loss on extinguishment of debt. This adjustment relates to early termination of a portion of our debt. Adjusting for these losses allows investors to better understand and analyze our core operational performance in the periods shown.

One-time pilot agreement expenses. In the March 2023 quarter, Delta pilots ratified a new four-year Pilot Working Agreement effective January 1, 2023. The agreement included a provision for a one-time payment made upon ratification in the March 2023 quarter of \$735 million. Additionally, we recorded adjustments to other benefit-related items of approximately \$130 million. Adjusting for these expenses allows investors to better understand and analyze our core cost performance.

Restructuring charges. During 2020, we recorded restructuring charges for items such as fleet impairments and voluntary early retirement and separation programs following strategic business decisions in response to the COVID-19 pandemic. During 2022, we recognized adjustments to certain of those restructuring charges, representing changes in our estimates.

Third-party refinery sales. Refinery sales to third parties, and related expenses, are not related to our airline segment. Excluding these sales therefore provides a more meaningful comparison of our airline operations to the rest of the airline industry.

Non-GAAP Reconciliations

After-tax Return on Invested Capital ("ROIC"). We present after-tax return on invested capital as management believes this metric is helpful to investors in assessing the company's ability to generate returns using its invested capital as a measure against the industry. Return on invested capital is tax-effected adjusted total pre-tax income divided by average adjusted invested capital. Average adjusted invested capital represents the sum of the adjusted book value of equity at the end of the last five quarters, adjusted for pension impacts within other comprehensive income. Average adjusted gross debt is calculated using amounts as of the end of the last five quarters. All adjustments to calculate ROIC are intended to provide a more meaningful comparison of our results to the airline industry.

Amortization of retirement actuarial loss. This adjustment relates to actuarial gains/losses on our benefit plans. Adjusting for these results allows investors to better understand our core operational performance in the periods shown as it removes prior period differences in assumptions and actual experience within our benefit plans.

Interest expense, net and interest expense included in aircraft rent. This adjustment relates to interest expense related to debt and financing transactions. Adjusting for these results allows investors to better understand our core operational performance in the periods shown as it neutralizes the effect of our capital structure.

(in billions)	December 31, 2023	December 31, 2022
Pre-tax income	\$ 5.6	\$ 1.9
Adjusted for:		
MTM adjustments on investments	(1.3)	0.8
MTM adjustments and settlements on hedges	(0.1)	0.0
Loss on extinguishment of debt	0.1	0.1
One-time pilot agreement expenses	0.9	-
Restructuring charges	-	(0.1)
Amortization of retirement actuarial loss	0.2	0.3
Interest expense, net and interest expense included in aircraft rent	1.2	1.4
Pre-tax adjusted income	\$ 6.6	\$ 4.4
Tax effect	\$ (1.5)	\$ (1.1)
Tax-effected adjusted total pre-tax income	\$ 5.1	\$ 3.3
Adjusted book value of equity	\$ 14.6	\$ 12.1
Average adjusted gross debt	23.6	27.5
Averaged adjusted invested capital	\$ 38.2	\$ 39.6

After-tax Return on Invested Capital

13.4%

8.4%

Non-GAAP Reconciliations

Free Cash Flow. We present free cash flow because management believes this metric is helpful to investors to evaluate the company's ability to generate cash that is available for use for debt service or general corporate initiatives. Free cash flow is defined as net cash from operating activities and net cash from investing activities, adjusted for (i) net redemptions of short-term investments, (ii) strategic investments and related, (iii) net cash flows related to certain airport construction projects and other, (iv) financed aircraft acquisitions and (v) pilot agreement payment. These adjustments are made for the following reasons:

Net redemptions of short-term investments. Net redemptions of short-term investments represent the net purchase and sale activity of investments and marketable securities in the period, including gains and losses. We adjust for this activity to provide investors a better understanding of the company's free cash flow generated by our operations.

Strategic investments and related. Certain cash flows related to our investments in and related transactions with other airlines are included in our GAAP investing activities. We adjust for this activity because it provides a more meaningful comparison to our airline industry peers.

Net cash flows related to certain airport construction projects and other. Cash flows related to certain airport construction projects are included in our GAAP operating activities and capital expenditures. We have adjusted for these items, which were primarily funded by cash restricted for airport construction, to provide investors a better understanding of the company's free cash flow and capital expenditures that are core to our operations in the periods shown.

Financed aircraft acquisitions. This adjustment reflects aircraft deliveries that are leased as capital expenditures. The adjustment is based on their original contractual purchase price or an estimate of the aircraft's fair value and provides a more meaningful view of our investing activities.

Pilot agreement payment. In the March 2023 quarter, Delta pilots ratified a new four-year Pilot Working Agreement effective January 1, 2023. The agreement included a provision for a one-time payment upon ratification in the March 2023 quarter of \$735 million. We adjust for this item to provide investors a better understanding of our recurring free cash flow generated by our operations.

(in billions)	Year Ended	
	December 31, 2023	December 31, 2022
Net cash provided by operating activities:	\$ 6.5	\$ 6.4
Net cash used in investing activities:	(3.1)	(6.9)
Adjusted for:		
Net redemptions of short-term investments	(2.2)	(0.1)
Strategic investments and related	0.2	0.7
Net cash flows related to certain airport construction projects and other	0.5	0.4
Financed aircraft acquisitions	(0.5)	(0.2)
Pilot agreement payment	0.7	-
Free cash flow	\$ 2.0	\$ 0.2

Non-GAAP Reconciliations

Operating revenue, adjusted related to premium products and diverse revenue streams

(in billions)	Year Ended December 31, 2023	
Operating revenue	\$	58.0
Adjusted for:		
Third-party refinery sales		(3.4)
Operating revenue, adjusted	\$	54.7
Less:		
Main cabin revenue		(24.5)
Operating revenue, adjusted related to premium products and diverse revenue streams	\$	30.2
Percent of operating revenue, adjusted related to premium products and diverse revenue streams		55%

Non-GAAP Reconciliations

Pre-Tax Income, Net Income, and Diluted Earnings per Share, adjusted

(in billions, except per share data)	Year Ended December 31, 2023			Year Ended December 31, 2023
	Pre-Tax Income	Income Tax	Net Income	Earnings Per Diluted Share
GAAP	\$ 5.6	\$ (1.0)	\$ 4.6	\$ 7.17
Adjusted for:				
MTM adjustments on investments	(1.3)			
MTM adjustments and settlements on hedges	(0.1)			
Loss on extinguishment of debt	0.1			
One-time pilot agreement expenses	0.9			
Non-GAAP	\$ 5.2	\$ (1.2)	\$ 4.0	\$ 6.25

(in billions, except per share data)	Year Ended December 31, 2022			Year Ended December 31, 2022
	Pre-Tax Income	Income Tax	Net Income	Earnings Per Diluted Share
GAAP	\$ 1.9	\$ (0.6)	\$ 1.3	\$ 2.06
Adjusted for:				
MTM adjustments on investments	0.8			
Loss on extinguishment of debt	0.1			
Restructuring charges	(0.1)			
Non-GAAP	\$ 2.7	\$ (0.7)	\$ 2.1	\$ 3.20

Non-GAAP Reconciliations

Adjusted Debt to Earnings Before Interest, Taxes, Depreciation, Amortization and Rent ("EBITDAR"). We present adjusted debt to EBITDAR because management believes this metric is helpful to investors in assessing the company's overall debt profile. Adjusted debt includes LGA bonds and operating lease liabilities. We calculate EBITDAR by adding depreciation and amortization to GAAP operating income and adjusting for the fixed portion of operating lease expense.

(in billions)	December 31, 2023	December 31, 2022
Debt and finance lease obligations	\$ 20.1	\$ 23.2
Plus: Operating lease liability	7.1	7.6
Plus: Sale leaseback liability	1.9	2.2
Adjusted Debt	\$ 29.2	\$ 32.9

(in billions)	Year Ended	
	December 31, 2023	December 31, 2022
GAAP operating income	\$ 5.5	\$ 3.6
Adjusted for:		
One-time pilot agreement expenses	0.9	-
Operating income, adjusted	\$ 6.3	\$ 3.6
Adjusted for:		
Depreciation and amortization	2.3	2.1
Fixed portion of operating lease expense	1.0	0.9
EBITDAR	\$ 9.6	\$ 6.6

Adjusted Debt to EBITDAR	3.0x	5.0x
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